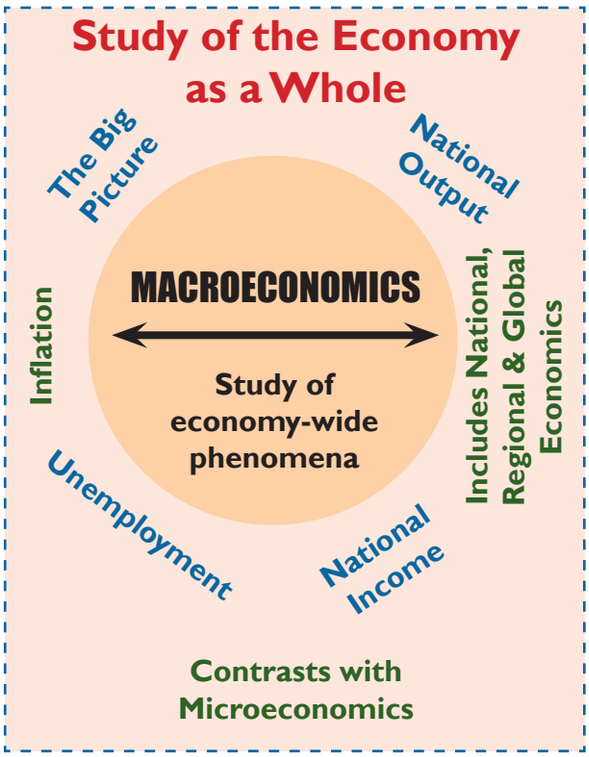
the economy as a whole. In other words, macro economics deals with aggregates such as national income, employment, output etc. Macro Economics is also known as 'Income Theory'.



The subject matters covered in Macro Economics are the areas such as employment, national income, inflation, business cycle, poverty, inequality, disparity, investment and saving, capital formation, infrastructure development, international trade, balance of trade and balance of payments, exchange rate and economic growth.

1.3 Importance of Macro Economics

The importance and the need for introducing a macro outlook of an economy are given below:

- There is a need to understand the functioning of the economy at the aggregate level to evolve suitable strategies and to solve the basic problems prevailing in an economy.
- Understanding the future problems, needs and challenges of an economy as a whole is important to evolve precautionary measures.
- Macro economics provides ample opportunities to use scientific investigation to understand the reality.
- Macro economics helps to make meaningful comparison and analysis of economic indicators.
- Macro economics helps for better prediction about future and to formulate suitable policies to avoid economic crises.

1.4 Scope of Macro Economics

The study of macro economics has wide scope and it covers the major areas as follows

- **National Income:** Measurement of national income and its composition by sectors are the basic aspects of macroeconomic analysis. The trends in National Income and its composition provide a long term understanding of the growth process of an economy.
- **Inflation:** Inflation refers to steady increase in general price level. Estimating the general price level

12-Economics-Chapter_1.indd 2 23-12-2022 14:41:37